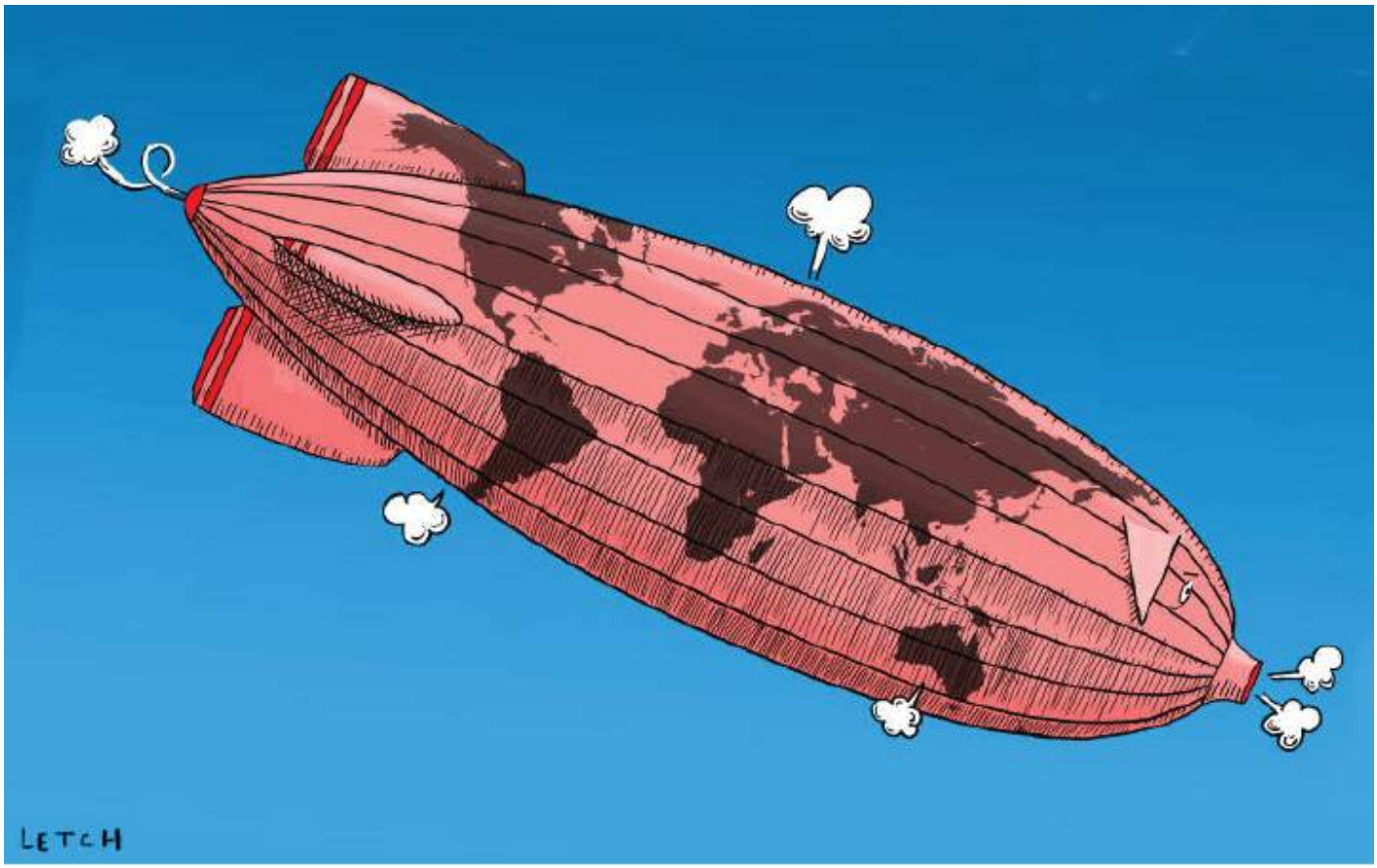
Learning to live without inflation

Ross Gittins



People reliant on their retirement savings will just have to adjust their expectations to a changed world.



When I became an economic journalist in the early 1970s, the big economic problem was high and rising inflation. The rate of increase in consumer prices briefly touched 17 per cent a year under the Whitlam government, and averaged about 10 per cent a year throughout the decade.

It never crossed my mind then that one day the rise in prices would slow to a trickle – they rose by 0.7 per cent over the year to September – and I certainly never imagined, if it ever did happen, people would have so much trouble living in a largely inflationfree world.

What? Why would anyone ever object to prices rising at a snail's pace? Well, of course, no one does. Nor do you see many borrowers objecting to a fall in interest rates.

For savers, however, it's a different story. Last month, when Reserve Bank governor Dr Philip Lowe announced what's likely to be the last of many cuts in the official interest rate – it's a bit hard to go lower than 0.1 per cent

– there were bitter complaints from the retired.

"How do you expect us to live when you keep cutting the interest we get on our investments? How long are you going to keep screwing us down like this? When will you start putting rates back

up where they should be?”

Short answer to that last question: unless you’re only newly retired, probably not in your lifetime.

There’s something I need to explain. People like me may have given you the impression that our Reserve Bank moves interest rates up and down as it sees fit, cutting rates when the economy’s weak and it wants to encourage people to borrow and spend, or raising rates when the economy’s “overheating” and it wants to discourage borrowing and spending.

That’s true, but it’s not the whole truth. The deeper truth is that interest rates are closely related to the inflation rate. That’s because much of the rate of interest lenders require borrowers to pay them represents the compensation the lender needs to be paid just for the loss of purchasing power their money will suffer before it’s repaid.

(And when I talk about the lender, I mean the ultimate lender

– ordinary savers – not the bank, which is just an intermediary between the ultimate lender and the ultimate borrower, probably someone with a home loan.)

So when the expected inflation rate is high, interest rates are high; when the expected inflation rate is low, so are interest rates. The other component of the interest payment lenders receive – the “real” interest rate – represents the actual fee the borrower pays for the temporary use of the lender’s money.

It’s only this much-smaller real interest rate that the Reserve Bank is free to adjust up and down. So the *main* reason interest rates are so low and getting lower is that the inflation rate is low and getting lower.

And that’s not because of the pandemic and the recession it induced, so it won’t be going away when the economy recovers. It’s because, after rising steadily for about 30 years after World War II, the inflation rate – in all advanced economies – has spent the past 30 years steadily going back down.

So inflation has gone away as a problem – leaving unemployment and underemployment as our dominant worry – and it won’t be coming back for a long, long time.

If so, interest rates will be staying low and it’s pointless to rail against the Reserve Bank.

Rather, people reliant on their retirement savings will just have to adjust to a changed world. If they want the safety of a bank term deposit, they’ll have to accept the tiny interest payment that goes with it. If that’s not enough, they’ll have to accept the greater risk that goes with share and other investments.

But let’s not exaggerate their predicament. If interest rates are low because inflation is low, that means their cost of living is low.

Indeed, the Australian Bureau of Statistics’ living cost index designed to measure the special circumstances of self-funded retirees shows their cost of living rose by just 0.7 per cent over the year to September.

Many self-described self-funded retirees take the view that their annual *earnings* from their superannuation should be sufficient for them to live on, thus leaving what they regard as the “principal” to cover future contingencies or be left to their children.

But, particularly for super payouts large enough to put retirees beyond being eligible for the age pension, it’s wrong to think of that payout as consisting of all your contributions (principal) plus

interest. Well over half that sum consists not of your hard-earned, but of the government's munificence in granting you 30 or 40 years of compounded tax concessions on both your contributions and annual earnings.

Its generosity was intended to leave you with a sum sufficient to let you live comfortably in retirement, not to set up your kids' inheritance. Trying to live without dipping into your payout isn't doing it tough, it's a lifestyle choice.

Ross Gittins is the economics editor.